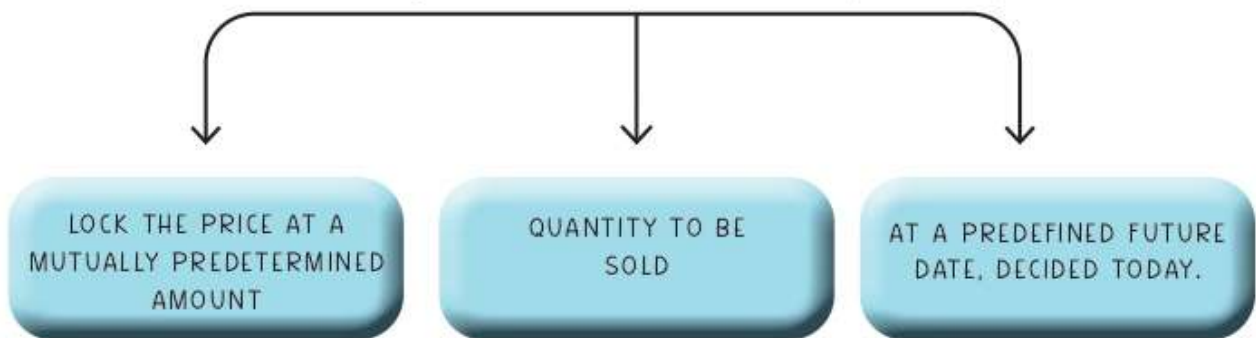


Both are willing to enter a forward contract (derivative) to



In financial markets, hedging is an activity undertaken to reduce overall portfolio risk that a company may have. For example, a portfolio that has lot of shares linked directly to movement o Crude oil might want to hedge it using derivative contracts. Banks might want to reduce interest rate exposures in uncertain times. The idea here is to not make profits from derivatives but to avoid large losses that they might otherwise face.They are seeking safety and protection by entering this contract and are therefore called **Hedgers**.



HEDGERS CAN BE ANYONE

